

has a right to sue and can be sued, can have its own property and its own bank account. It can also own money and be a creditor.

- **Created by law:** A company can be formed only with registration. It has to fulfill a lot of formalities to be registered. It has also to fulfill a lot of legal formalities in order to be dissolved.
- **Perpetual Succession:** A company has a continuous existence. Its existence does not affected by admission, retirement, death or insolvency of its members. The members may come or go but the company may go forever. Only law can terminate its existence.
- **Common Seal:** As a company is an artificial person, so it can sign any type of contracts. For this purpose its requires a common seal which acts as the official signatories of the company. All the contracts prepared by its directors must bear seal of the company.



Every company must have a board of directors.

A company is a legal entity and does not have any physical existence. It can act only through natural persons to run its affairs. Every company shall have a Board of Directors consisting of individuals as directors who are the men hired by the company to direct its affairs. The board of directors' key purpose is to ensure the company's prosperity by collectively directing the company's affairs, whilst meeting the appropriate interests of its shareholders and stakeholders. Let us now understand the paperwork to be done by a company for opening a banking account. A copy of following documents is required by the bank:

- **Certificate of incorporation :** A certificate of incorporation is a legal document relating to the formation of a company granted by the registrar.